SEAMEC Ltd

Concall Tracker — reading the earnings calls to test the earning trigger & management consistency

CONCALL PATH · 12 calls read · Nov 2023 → May 2026   Prepared 11 Jul 2026 · NSE: SEAMECLTD

1. Snapshot — what this business is

SEAMEC owns and hires out **specialised offshore ships** — mainly **diving-support and multi-support vessels (DSV/MSV)** that service oil & gas fields already producing under the sea (inspection, maintenance, repair and construction work). It does **not** explore for oil; it is hired *after* a field is found, for the whole life of that field. Its biggest customer is India's state oil company **ONGC**; it also works for Saudi Aramco. Vessels sit on **3–5 year fixed-rate charters**, so income is contracted but very seasonal (the monsoon quarter is weak) and swings on any single vessel breakdown. Promoter group is the M.P. Agrawal Group (MMG) / **HAL Offshore**, holding ~72.7%.

Market value of the company	**Rs 3,623 cr** — what the whole company is worth on the market today.
Share price / P/E	**Rs 1,425 · 15.0x** — you pay Rs 15 for every Rs 1 of yearly profit — not expensive.
FY26 sales (standalone)	**Rs 902 cr**, up ~46% — total charter income for the year; grew almost by half as new ships and high rates kicked in.
FY26 net profit (standalone)	**Rs 242 cr**, up from Rs 116 cr — final yearly profit; more than doubled — best year ever.
Operating margin	**~40%** — for every Rs 100 of sales, Rs 40 is operating profit; very high because ships are on fixed high-rate contracts.
ROCE / ROE	**20.4% / 21.9%** — return on the money put into the business / on shareholders' money; both healthy.
Borrowings	**Rs 297 cr** (up from Rs 196 cr) — debt rose as it bought more ships; net debt ~Rs 300–400 cr. Manageable but climbing.
Dividend	**~nil** — profits are ploughed back into buying vessels, not paid out.

2. Concall coverage

All **12 available transcripts** on Screener were read — a full run of quarterly calls from the maiden call (Q2 FY24, Nov 2023) to the latest (Q4 FY26, May 2026). That is **~2.5 years / 12 quarters** of continuous coverage — a strong, complete record with no gaps.

Period	Call date	Read?	Period	Call date	Read?
Q2 FY24	Nov 2023	Yes	Q3 FY25	Feb 2025	Yes
Q3 FY24	Feb 2024	Yes	Q4 FY25	May 2025	Yes
Q4 FY24	May 2024	Yes	Q1 FY26	Aug 2025	Yes
Q1 FY25	Aug 2024	Yes	Q2 FY26	Nov 2025	Yes
Q2 FY25	Nov 2024	Yes	Q3 FY26	Feb 2026	Yes
			Q4 FY26	**May 2026**	**Yes (latest)**

★ Latest concall highlights — Q4 & FY26 (call held 19 May 2026)

- **Record year, big Q4.** Full-year consolidated sales **Rs 1,000 cr, up 47%**; consolidated net profit **Rs 253 cr, up from Rs 88 cr** (standalone profit Rs 242 cr vs Rs 116 cr) — the highest sales and profit in the company's history. Q4 alone: sales Rs 330 cr (+58%), profit Rs 103 cr vs Rs 41 cr — a very strong finish.
- **New ships driving the next leg.** SEAMEC AGASTYA is now integrated and running (will earn a *full* year in FY27); SEAMEC ANANT (bought for ~$70 m from the promoter) is one quarter from joining the fleet — more earning vessels are being added.
- **Two new ONGC service contracts** (for vessels Samudra Prabha ~Rs 348 cr and Samudra Sevak ~Rs 270 cr, running to 2028; SEAMEC keeps ~90%) — locked-in income visibility for the next two years.
- **Guidance FY27: ~15% growth in both sales and profit, margin 40–42%.** Management deliberately pushed back when an analyst assumed much higher — they under-promise.
- **Caution flagged by management:** vessel **Seamec Paladin is stuck idle in a Dubai yard** because of the West Asia war / Strait of Hormuz closure — earning nothing until the sea route re-opens. Five vessels are also due for dry-docking (maintenance downtime) in FY27.

Business mix & capacity (quick facts)

India vs overseas: ~85–90% of income is from India (mostly ONGC); only **~10–15% from overseas** (Saudi Aramco) — the business is overwhelmingly an India / ONGC story, with a small growing Middle-East foot.

Capacity use: vessels run at **~100% utilisation** barring off-hire for dry-docking or breakdowns — the fleet is essentially fully booked; growth has to come from adding ships, not from filling spare capacity. Fleet has grown from ~6–7 to ~10–11 vessels over three years; SEAMEC says it is the largest DSV/MSV owner in India.

★ 3. Earning-trigger thesis

The trigger management has pointed to on **every single call** is the same and it is concrete: ride a tight **offshore up-cycle** (charter day-rates jumped after 2022 and few new ships are being built worldwide) by **replacing old vessels with younger ones and steadily buying more**, all locked onto multi-year fixed-rate ONGC/Aramco contracts. High entry barriers (being pre-qualified by ONGC/Aramco takes years, and SEAMEC owns the biggest such fleet in India) protect the pricing. This is **not a hope — it has already shown up in the numbers**: sales roughly doubled and profit more than doubled versus FY23, with a record FY26.

Trigger	What management said	Evidence so far	Horizon	Strength
Fleet expansion (buy more ships)	Add younger DSV/MSV/OSV vessels; ~Rs 800 cr capex committed	Delivered — Swordfish, Diamond, Agastya, Nusantara added; Anant next; fleet 6→~11	Now & ongoing	**Strong**
Higher charter day-rates	Rates up post-2022; renewals to reprice higher	Playing out but modest — e.g. Diamond ~$8,750/day, renewals ~10–15% (early hope of "50–100%" faded)	Next 2–3 yrs	**Moderate**
New ONGC O&M contracts	Samudra Prabha/Sevak, ~Rs 618 cr to 2028	Just awarded & commencing	FY26–28	**Moderate**
Absorbing promoter (HAL) contracts	Move HAL Offshore's ONGC contracts into the listed company	Partly — via Anant purchase & charters "through HAL"; open-ended, related-party	Multi-year	**Unproven / watch**

4. Management consistency scorecard (promised vs delivered)

Period	What was promised	What actually happened	Verdict
FY24 calls	Old contracts (Seamec III/Princess) to reprice up "50–100%" from FY25; 15–20% growth	Repricing hope quietly cut to "5–10%"; growth path held on average	**Partly / softened**
Nov 2024 (Q2 FY25)	H2 FY25 to grow as vessels reprice; "worst behind us"	Q3 FY25 was a small **loss** — breakdowns, Swordfish idle, visa delays	**Missed (short-term)**
FY25 → FY26	"FY26 will be the year of delivery"	**Delivered** — record FY26, profit more than doubled	**Delivered**
Swordfish (Aramco $78k/day)	On-hire from March 2025	Slipped ~2 months (idle Mar–Apr on Saudi visa freeze), then ran	**Partly / late**
New vessels (Nusantara/Anant)	Firm dates & characterisation	Nusantara re-labelled (DSV→MSV) & slipped to Dec 2025; Anant repeatedly pushed out	**Partly / drifted**
UK subsidiary (London office)	North-Sea gateway; ~Rs 205 cr sunk	Delayed (now Sep 2026), impairment taken, plan walked back	**Dropped / drifted**

Narrative drift: the *core* story — offshore up-cycle + fleet renewal — has stayed rock-steady across all 12 calls and, importantly, **delivered** a record FY26; management also under-promises (a conservative 15% guide) and is candid about monsoon weakness, breakdowns and off-hire. But the **sub-plots keep drifting**: the big "50–100% repricing" hope shrank to single digits, the demerger with the promoter was abandoned then replaced by an open-ended "contract absorption" plan, new-vessel timelines slip, the UK property was a costly detour, and there is **management churn** (the lead speaker changed several times — Mohta → a short-lived CEO → Goel → Mohta again). **Related-party items** stand out: a promoter advisory/management fee of ~4% of turnover (about Rs 26 cr, ~15% of FY24 profit, now under a Grant Thornton review) and buying the Anant vessel *from* the promoter — income leaks to the promoter group and needs watching.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete driver that is **already delivering**: a tight offshore up-cycle worked through fleet renewal and expansion, on multi-year fixed-rate ONGC/Aramco contracts, in a business with real entry barriers and ~100% vessel utilisation. FY26 was a record (profit more than doubled), new ships (Agastya, Anant) and fresh ONGC contracts give a visible FY27 runway, and management's own 15% guide is conservative. The trigger is live and proven — not a promise.

Management consistent? → MAYBE

The headline story has held and paid off, and management is honest about seasonality and operating hiccups — but the record is genuinely mixed. Guidance on repricing was oversold then cut, vessel timelines and labels keep shifting, the UK property was a walk-back, the lead spokesperson has changed repeatedly, and unresolved related-party fees/purchases with the promoter leak value. Steady core, drifting sub-plots — a "mostly reliable, verify the details" read.

Sources: SEAMEC Ltd earnings-call transcripts (Screener.in), Q2 FY24–Q4 FY26, and Screener financial snapshot. All figures rounded; "Rs cr" = rupees crore; "day-rate" = the daily hire charged for a vessel. This is not investment advice — do your own due diligence.